

TLDR

1. Both crypto and precious metals dropped together after a macro shock around the Fed, dollar and liquidity that pushed investors into “risk off” mode.
2. Precious metals had become a crowded, leveraged trade; CME margin hikes and stop losses turned a normal pullback into a violent cascade.
3. Crypto was heavily levered and ETF-driven, so the metals meltdown plus outflows and thin liquidity triggered huge liquidations and a cross-asset flush.

Deep Dive

1. Shared Macro Shock And “Risk Off”

The sharp leg down happened over roughly 27 Jan to 2 Feb 2026. In that week total crypto market cap fell about 11% and gold dropped about 5%, with much bigger intraday swings.

1. The nomination of Kevin Warsh as the next Fed chair pushed markets to price fewer and slower rate cuts and more uncertainty around policy. That lifted the dollar and real yields, which usually pressures both gold and high risk assets like crypto.
2. There were additional macro stressors at the same time: a partial US government shutdown, renewed trade tensions and elevated geopolitical risks in the Middle East and Asia. Together these encouraged de-risking across equities, metals and crypto.
3. Correlation data shows crypto trading tightly with TradFi during the break. Over the last 24 hours, total crypto market cap has a correlation of about 0.85 with major US equity ETFs and a 7-day correlation above 0.8 with gold, which is unusually high and consistent with a shared macro driver rather than coin-specific news.

What this means: the move was primarily a macro liquidity and policy repricing shock, not something uniquely wrong with crypto or gold.

2. Crowded Precious Metals Trade, Margin Hikes And Forced Selling

The metals side was not just “risk off”. It was an unwind of an extremely crowded, leveraged long trade.

1. Gold and silver had gone near parabolic. Gold hit a record above about \$5,550 per ounce and then dropped around 11% in a single day. Silver fell roughly 30% from its high, with some outlets describing the biggest

intraday swing in over a decade.

2. CME Group then raised margin requirements on precious metals futures. That instantly made existing positions more capital intensive and forced many leveraged traders to either add cash or liquidate. A lot chose or were forced to liquidate.
3. As margin calls hit, some investors sold whatever was liquid and profitable to raise cash. That often includes crypto. Commentators explicitly linked the metals meltdown, CME margin hike and a wave of margin-related selling and stop-loss triggers amplifying the move across assets.

What this means: the metals crash was less about fundamentals and more about an overextended, leveraged trade hitting a wall, with knock-on effects into other liquid markets.

3. Crypto Leverage, ETF Outflows And Correlation With Metals

Crypto was in a fragile position when the metals trade blew up, so the same macro shock hit harder.

1. Positioning was stretched. Derivatives open interest for crypto had been very high after the autumn rally, and then fell more than 20% over the last month. Multiple reports cite single-day liquidations between about \$800 million and \$2.5 billion, mostly long positions, during the selloff.
2. Spot ETF and fund flows flipped. Digital asset investment products saw about \$1.7 billion of outflows in the week, reversing all year-to-date inflows. US spot Bitcoin ETFs alone reportedly had over \$1.1–1.5 billion in redemptions across a few days, with many ETF coins now below their average entry price, which encourages de-risking instead of dip-buying.
3. Liquidity was thin and timing was bad. A key leg lower happened over a weekend, when order books are shallower. Once Bitcoin broke through support levels around the low-80k and then near 80k, stop orders and forced liquidations cascaded, pushing price briefly toward the mid-70k area before rebounding. Altcoins, which depend even more on leverage and ETF sentiment, dropped more than the majors.
4. The metals crash and crypto flush fed each other through the same investors. Some macro funds and speculative traders held both trades: long gold and silver as “debasement” plays, and long crypto as high beta risk. When metals reversed and margin requirements rose, they cut risk across the board, including crypto.

What this means: for crypto this was mostly a leverage and flows event, triggered by macro and metals, rather than a specific blockchain or regulatory

shock.

Conclusion

Crypto and precious metals fell sharply at the same time because a cluster of macro events around the Fed, the dollar and government finances flipped sentiment to “risk off” just as both trades were crowded and heavily leveraged. CME margin hikes and an overextended rally made metals snap first, and that forced selling and liquidity stress spilled into crypto, where thin weekend order books, large ETF outflows and high derivatives leverage turned a normal correction into a fast cascade. The underlying narratives for both assets have not fundamentally changed, but near term price action is likely to remain dominated by liquidity, positioning and future Fed communication rather than day-to-day crypto or mining fundamentals.

Confidence: High, because multiple independent market and news sources point to the same macro, leverage and flow drivers over the same dates.

As of 3 Feb 1:09am UTC using CMC market overview, crypto fund flow reports, and recent macro and commodities news.